

which means they are usually in only one or two lines of business. We like entrepreneurial management, which is common among small companies, and financial strength, which is not, but I don't want to be involved with risky start-ups or turnaround situations. And the stocks still have to be on the cheap side, usually because they aren't as yet very well known.

I haven't strayed from that investment philosophy since I first articulated it to shareholders over a quarter century ago. I like to think I've learned a thing or two over the decades, but I haven't changed my basic approach. I still want to load the shopping cart with cheap stocks of small, sound companies with products or services in demand—increasingly, in worldwide demand. An investor's view of markets can be valid for a very long time. I like to believe, too, that I've practiced what I've preached. When you deviate from what you know and do best, you usually get into trouble. Good investors are those who have a vision and stick to it.

A mutual fund, particularly a small-company fund, can have one problem the individual isn't going to face. If it does well and money floods in, it becomes harder to adhere to its original declarations. But it can be done. Some of our companies are larger than those we bought at the beginning, and we own more positions, but the selection criteria haven't changed. But I know a small-cap fund can get too large. Wanger Asset Management's logo is the squirrel, and you don't see many three-hundred-pound squirrels in the park.

When you invest through mutual funds, you can own a value fund and a growth fund, a big-company and a small-company fund. But when you're investing on your own, you can't spread yourself into all corners. Aside from the size of the portfolio you'd need to achieve such diversity, you'd never develop and hone a style of your own.

Too often people start with a discipline but abandon it. And it's like virginity: if you lose it when you're eighteen, you may never find it again. It's so easy to let yourself be caught up in the market enthusiasms of the day. Every force in the world—the "experts".